

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

**RESPONDENT’S SECOND MOTION TO DISMISS FOR FAILURE TO PROSECUTE
OR TO DISMISS SHIPMENTS NOT IN THE U.S.-FOREIGN TRADE AND TO
PRECLUDE COMPLAINANT’S UNTIMELY “CORRECTED” EXPERT REPORT**

For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss incorporated below, Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) moves pursuant to 46 C.F.R. 502.72(b), 46 C.F.R. 502.69(g) and 46 C.F.R. 502.70 to dismiss the Amended Verified Complaint (Complaint) filed in this proceeding by Complainant Visual Comfort & Co. (“Complainant” or “VCC”).

In short, the Complaint must be dismissed because VCC has failed to prosecute its case by withholding documents critical to COSCO’s defense (and likewise essential to VCC’s case-in-chief). In the alternative, if the motion to dismiss the entire Complaint is not granted, the Presiding Officer must dismiss all shipments **not in the U.S.-Foreign trades** (e.g., those shipments between a foreign country and Canada), and should preclude Complainant from using its substantially revised Expert Report, which was provided to Respondent on September 27, 2024, months after the June 14 deadline for Complainant’s expert report.¹ As noted by the Presiding Officer in her

¹ Because the motion to dismiss the Complaint is dispositive, as is the alternative motion to dismiss non-jurisdictional shipments, there is no requirement to confer with counsel for Complainant,

July 17, 2024 Order, “discovery is intended to make trial ‘less a game of blind man’s bluff and more a fair contest with the basic issues and facts disclosed to the fullest practicable extent...’” Order at 6 (citing *Gilmore v. City of Minneapolis*, 2014 WL 4722488, at *6 (D. Minn. 2014), citing *United States v. Procter & Gamble Co.*, 356 U.S. 677(1958)). Complainant’s conduct, as set out below, has forced Respondent into such a game of “blind man’s bluff” and the Complaint should be dismissed with prejudice.

MEMORANDUM IN SUPPORT OF MOTION

A. Standards for Motions to Dismiss

1. Failure to Prosecute/Abuse of Discovery Process

Rule 72(b) states:

“If the complainant fails to prosecute *or to comply with these rules or an order in the proceeding*,² a respondent may move to dismiss the action or any claim against it, or the presiding officer, after notice to the parties, may dismiss the proceeding on its own motion. Unless the dismissal order states otherwise, a dismissal under this subpart, except one for lack of jurisdiction or failure to join a party, operates as an adjudication on the merits.” 46 C.F.R. § 502.72 (emphasis added).

A motion to dismiss for failure to prosecute is a dispositive motion and it is well established that a dismissal for failure to prosecute may be based on failure to comply with discovery

although we have alerted them of our intent to file the motion to dismiss. As to the alternative motion to preclude use of the substantially revised expert report, we did confer with opposing counsel, who stated that Complainant opposes the motion.

² As Rule 72 states, failure of a complainant to prosecute or to comply with the requirements of the FMC Rules or an order of the Presiding Officer is a ground for dismissal. As FED. RULE CIV. PRO. 41(b) makes clear, “[i]f the plaintiff fails to prosecute or to comply with these rules or a court order, a defendant may move to dismiss the action or any claim against it.”

obligations and/or the procedural schedule. *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2015 WL 6274657 at *3 (Initial Decision 2015, Admin. Final 2016) (“Edaf Antillas did not file its papers as required by the Briefing Schedule and Respondents filed motions to dismiss based on this failure. Commission rules provide that a Commission complaint may be dismissed for failure to prosecute.”)

2. Lack of Subject Matter Jurisdiction

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., Rahal International Inc. v. Hapag-Lloyd AG*, Docket No. 23-05; 2023 WL 862203 at *3 (ALJ, December 6, 2023); *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C. 2d 103 (ALJ 2018). Motions to dismiss based on lack of subject matter jurisdiction are evaluated under Federal Rule of Civil Procedure 12(b)(1). *See Rahal, supra* (the “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction”).

A motion to dismiss may make either a facial attack or a factual attack. In the former instance, well-pleaded allegations are assumed (for purposes of the motion) to be true. In a facial attack, by contrast, the allegations in the complaint are not assumed but must be supported by evidence. As the Commission has explained:

“Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdictionWith regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . ***A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.***

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.* 32 S.R.R. 126, 136 (FMC 2011) (emphasis added).

Here, the lack of subject matter jurisdiction is not apparent from the face of the Complaint, which fails to disclose that many of the shipments moved in foreign-to-foreign commerce. Instead, it was disclosed during the recent testimony of members of VCC’s executive management, including the Chief Operating Officer, and by documents received in connection therewith. Accordingly, this Motion makes a factual attack on subject matter jurisdiction, where the four corners of the Complaint are accorded no import.

3. Preclusion of Revised (September 27) Expert Report

Expert disclosures must be made “at the times and in the sequence that the court orders.” F.R.C.P. 26 (a)(2)(D). *See, e.g., Goodman v. Staples The Office Superstore, LLC*, 644 F.3d 817, 827 (9th Cir. 2011) (plaintiff’s untimely disclosure of expert witnesses and their expert reports warranted application of exclusion sanction). Likewise, under the FMC Rules, “[t]he time for disclosure of expert testimony must be addressed by the parties when they confer as provided in paragraph (h) of this section and, if applicable, must be included in the proposed discovery schedule submitted to the presiding officer.” 46 C.F.R. 502.141(d)(4). As detailed further below, the schedule agreed to by the Parties and adopted by the Presiding Officer required Complainant to serve its expert report by June 14, 2014, and Respondent to serve its rebuttal expert report July 22, 2024. The reports were in fact served on those respective dates.

Pursuant to F.R.C.P. 37(c)(1), a party that has failed to provide information required by Rule 26(a) or 26(e) “is not allowed to use that information or witness to supply evidence on a motion, at a hearing, or at a trial, unless the failure was substantially justified or harmless.” *See,*

e.g., Carrillo v. B&J Andrews Enters., LLC, 2013 WL 394207 (quoting in part from Fed. R. Civ. P. 37(c)(1)).³

B. The Complaint Should be Dismissed for Failure to Prosecute

As the Presiding Officer has repeatedly recognized, the Commission has already adopted a framework for deciding when an assessment of detention, demurrage, or similar charges violates 46 U.S.C. § 41102(c).⁴ Under that framework, as recently modified by the United States Court of Appeals for the District of Columbia, the Commission engages in a multi-part analysis under which it first looks at individual shipments and individual days to determine whether, for a particular shipment, the ocean common carrier has charged detention or demurrage for a specific date on which the party assessed the charge could not pick up a full container or return an empty container through no fault of its own (e.g., due to facility closure or lack of appointments). *TCW, INC. v. Evergreen Line Joint Service Agreement*, FMC Docket No. 1966(I), 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022). Second, as mandated by the D.C. Circuit, the Commission must decide for each shipment and for each date charged whether the charge was or was not an incentive to timely removal of cargo or return of empty containers. *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2024).

This requirement that challenges to charges for detention and demurrage be evaluated on a shipment-by-shipment, day-by-day basis is equally reflected in *Hapag-Lloyd, A.G. – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 4 FMC 2d 53, 94 (I.D. 2022). There,

³ In this case, as detailed in the argument below, Complainant’s attempt to revise its expert report at the last minute is neither remotely justified nor harmless to Respondent.

⁴ At the May 16, 2024 Status Conference, for example, the Presiding Officer referred to Complainant’s proposal to address the issue of unreasonable charges by reference to its expert’s opinion about Respondent’s total income from such charges as “far afield.”

Chief Administrative Law Judge Wirth found it necessary to look at the allegedly unreasonable charges on a container-by-container *and* day-by-day basis and concluded that “BOE did not establish a violation for all eleven shipments or for all days of detention.” Accordingly, she found violations of 46 U.S.C. § 41102(c) only for some of the shipments on some of the days. More recently, Chief Judge Wirth has stated that an allegation of a violation of 46 U.S.C. § 41102(c) concerning multiple shipments made it “likely that [complainant] would need to establish an inability to return each container.” FMC Docket No. 24-13, *Access One v. COSCO*, (Order Denying Partial Motion to Dismiss, June 4, 2024).⁵

Because the Commission requires complainants to prove violations on a shipment-by-shipment and day-by-day basis, Respondent early on (in its first set of discovery requests propounded March 27, 2024) requested that VCC identify and provide documents concerning each and every shipment as to which it asserted a violation. For example, Interrogatory 15 requested that Complainant “identify . . . the exact charges Complainant alleges were charged by COSCO” and similarly, Interrogatory 16 requested that Complainant “identify on a shipment by shipment and charge by charge basis the specific charges that Complainant alleges were assessed by COSCO and paid by Complainant. . .” Likewise, Requests for Documents 1 and 2 sought all documents used to respond to or identified in response to, *inter alia*, Interrogatories 15 and 16.

Although VCC promised to produce an answer to Interrogatories 15 and 16 and documents responsive to RFDs 1 and 2, it failed to do so in a timely manner. Accordingly, Respondent was required to file two motions to compel on May 30, 2024. Respondent’s motion to compel

⁵ This is of course the usual method the FMC uses for determining violations which relate to what the respondent did with respect to individual shipments. See *Anderson International Transport – Possible Violations*, 32 S.R.R. 1678 (FMC 2013) (conducting a shipment-by-shipment review investigating whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

production of documents requested by RFDs 1 and 2 was granted (with certain exceptions not relevant here) by the Presiding Officer on July 17, 2024. Moreover, in that same July 17 Order, the Presiding Officer cautioned Complainant “that it must be prepared to pursue its case . . . including providing responses to discovery requests when propounded according to the schedule, to the extent possible at that time. If it is not able to prosecute its case, it risks involuntary dismissal.” July 17, 2024 Order at 7. Complainant’s failure to produce multiple types of documents until just the past week (September 27 to October 1, 2024) forms the basis of this motion to dismiss for failure to prosecute.

1. The Changing Identification of Shipments Covered by the Complaint

Complainant’s claim for reparations was originally based on one spreadsheet, which purported to identify all of the shipments covered by the Complaint and VCC’s request for reparations. Unfortunately, and improperly, Complainant has repeatedly changed the information contained in the spreadsheet, including most recently on September 27, 2024. This dizzying array of changes, and particularly, the recent, extremely late changes, makes it impossible for COSCO to defend itself. We outline a bit of the history below.

On February 7, 2024, Complainant produced to COSCO **Exhibit 1**, a spreadsheet (“February 7 spreadsheet” or “VCC000005”) purporting to identify each and every shipment and charge as to which Complainant asserts a violation of the Shipping Act. This February 7 spreadsheet identified a total of 437 shipments (many of which appeared twice). The February 7 spreadsheet was used and referred to by the Parties in creating the ESI Protocol, in setting search terms and parameters thereunder, and in multiple email correspondences. However, although VCC never, prior to last week, produced or disclosed an updated spreadsheet or new version of **Exhibit**

1 to COSCO, VCC apparently did create a substantially revised spreadsheet (with 102 additional shipments), which it provided to its expert, John D. McCown, but did not provide to Respondent.

Mr. McCown's June 14 Report (**Exhibit 2**) identified 539 shipments at issue in the instant action, not the 437 that had been listed on the February 7 spreadsheet. On July 8, 2024, VCC produced a "corrected" copy of Mr. McCown's June 14 Report, which declassified the contents of the report and corrected ostensible typographical errors. This July 8 Report (**Exhibit 3**) likewise identifies 539 shipments at issue in the instant matter.⁶

This was not an irrelevant difference. Notably, Mr. McCown testified on September 26, 2024 that he had relied in calculating purported damages upon an "updated" version of the charges spreadsheet, not the version VCC produced to Respondent as VCC000005 (with 437 shipments). Specifically, when Mr. McCown was asked at deposition if the Exhibit 1 spreadsheet labeled VCC000005 contained the data upon which he had relied when creating his report, he responded that he had reviewed a different data set. Specifically, Mr. McCown testified that, "In looking at the table you showed [the February 7 spreadsheet marked VCC000005] and comparing it, I was – I was looking at something and including data outside of this that shouldn't be . . . you know, it's not a day and night difference. We don't have the exact amount. We will amend it and have something to you tomorrow, I believe. Again, it was my – it's very similar. It's not day and night.

⁶ We have produced this document, the July 8 Report (**Exhibit 3**), exactly as we received it from Complainant's counsel. Please note that the date on the document was not corrected to reflect July 8, and instead reflects the original date of June 14, 2020. Second, only pages 1-34 were sent in lieu of the complete signed and dated report. Finally, to clear any confusion as it relates to the "confidential" markings on the first two pages of the document that appear in **Exhibit 3**, we received yet another version of the expert report on June 20, 2024, with the confidential markings removed. In correspondence on June 20, 2024, counsel for VCC transmitted a version that removed the confidential markings from all but the first two pages of the July 8 Report. As such, we understand that opposing counsel has declassified the entirety of **Exhibit 3** despite the stray markings on the first two pages.

But as we saw, you know, it's – it's 100 or less situations and we'll amend that and get that to you. And I apologize for that.” **Exhibit 4**, John McCown September 26, 2024 Deposition Transcript, 241:15-242:4. Although Respondent requested on the record and by subsequent correspondence a copy of the updated spreadsheet underlying Mr. McCown’s June 14 report, Complainant refused to disclose that spreadsheet and still, as of this filing, has not produced a copy to Respondent.

Instead of producing the spreadsheet relied upon by Mr. McCown, Complainant took the alternative path of serving a substantially revised version of Mr. McCown’s Expert Report (“the September 27 Report” (**Exhibit 5**)) on Friday, September 27, 2024, at 8:07 pm Eastern Time. VCC’s counsel referred to the September 27 Report as a “corrected” report, a spurious descriptor apparently intended to obscure the fact that the report had been substantially revised. This “corrected” misnomer is especially egregious considering that VCC had already provided a “corrected” report on July 8 (**Exhibit 3**) that contained minor fixes, in contrast to the substantial revisions contained in the September 27 Report (**Exhibit 5**).

The September 27 Report was based on two wholly new spreadsheets, different both from the February 7 spreadsheet (which listed 437 shipments) and from the unproduced spreadsheet relied upon by Mr. McCown in his June 14 Report (which listed 539 shipments). As discussed further below, these new spreadsheets (“the September 27 spreadsheets”) included substantial changes to the universe of shipments allegedly covered by the Complaint, and the September 27 Report provided a revised calculation of purported damages. Most remarkably, Mr. McCown *increased* his calculation of damages allegedly due to Complainant by about five percent, even though he reduced the number of shipments at issue by more than twenty percent. Mr. McCown reached that augmented result by manipulating other inputs to yield a much higher end product.

There is no explanation of these significant changes in the September 27 Report, so one can only conclude that the revisions were made in order to achieve a result more favorable to Complainant.

Because the September 27 spreadsheets were not provided to Respondent until after depositions of VCC's fact witnesses had concluded, Respondent has not had an opportunity to question those fact witnesses about the creation of the various different spreadsheets relied upon Mr. McCown in his June 14 Report and in his September 27 Report, including why the newer sets of spreadsheets deviated so dramatically from the February 7 spreadsheet identified as **Exhibit 1**.⁷

2. Other Untimely Discovery Documents

It is not just the ever-changing spreadsheets that Complainant failed to produce timely, as ordered by the Presiding Officer. This became apparent during the September 24 and September 27 depositions of VCC's fact witnesses, Chief Operating Officer Gary Hirschel and Director of Logistics and Transportation Thomas O'Toole. Both Mr. Hirschel and Mr. O'Toole identified documents from which they had sourced their answers, but which were never produced to COSCO, even though such documents were not only responsive to COSCO's initial discovery requests but were also compelled by the Presiding Officer. Although Complainant thereafter produced some of these documents, at that point it had become a matter of the horses and the barn door.

For example, during the September 24, 2024 deposition of VCC's COO Gary Hirschel, Mr. Hirschel testified that VCC had a contract with freight forwarder R.I.M. Logistics, Ltd. ("RIM") Accordingly, Respondent's counsel requested on the record "all documents and communications

⁷ Although the McCown deposition could be continued, it is apparent from his testimony that he did not create the spreadsheet, but rather just used what he was given by VCC. Furthermore, there is not nearly sufficient time in the Schedule for Respondent, its Expert Witness and counsel to review and analyze the revised spreadsheets and prepare for a second round of depositions, even if done at Complainant's expense to avoid imposing costs on Respondent.

relating to agreements between VCC and RIM.” Additionally, several requests were made during the deposition of Mr. O’Toole, which included: (1) all contracts between VCC and RIM from 2021 and 2022; (2) emails between O’Toole and RIM about extensions of free time with COSCO for 2021 and 2022; (3) TRAX audit reports 2021 – 2022; and (4) all VCC Freight Detail Reports ("FDR") from 2021-2022. Complainant subsequently produced ten documents, none of which had been produced previously, even though clearly responsive to Respondent’s First Discovery Requests served on March 27, 2024.

As it relates to Respondent’s requests for “all documents and communications relating to agreements between VCC and RIM” and “all contracts between VCC and RIM from 2021 and 2022,” on September 27, 2024, Complainant produced one document (VCC47827, an email thread) that confirmed a 2022 contract between VCC and RIM that, again, had not previously been produced, despite being plainly responsive to Respondent’s March 27, 2024 Interrogatory #8. As the actual Complainant is effectively RIM, with VCC acting only as RIM’s surrogate by assignment, any contract that VCC had with RIM for transportation services would necessarily be important to this proceeding.

On September 29, 2024, Counsel for Complainant stated that Complainant “will search for and produce documents related to TRAX shortly” regarding the TRAX audit reports 2021 – 2022, even though such documents were responsive to Respondent’s Interrogatory #8, for which Respondent’s May 30, 2024 Motion to Compel was granted. Similarly, Counsel for Complainant also stated that they will produce documents related to “All VCC Freight Detail Reports ("FDR") from 2021-2022,” which also should have also been provided in response to Respondent’s Interrogatory #8, given that Mr. O’Toole identified the FDRs as relevant to VCC’s “bubbl[ing]” shipping costs during his September 27, 2024 deposition. These TRAX audit and freight detail

reports purportedly show a breakdown of Complainant's increasing costs with respect to VCC's freight invoices vis-à-vis the underlying contracts, information material to Respondent's ability to contextualize the charges at issue in this matter against broader trends in the shipping industry in the wake of the COVID-19 pandemic.

As explained above, a party that has failed to provide information required by the discovery requirements "is not allowed to use that information or witness to supply evidence on a motion, at a hearing, or at a trial, unless the failure was substantially justified or harmless." *See, e.g., Carrillo v. B&J Andrews Enters., LLC*, 2013 WL 394207 (quoting in part from Fed. R. Civ. P. 37(c)(1)). In this case, VCC's failure to provide accurate expert testimony was neither justified nor harmless to Respondent. Other discovery issues apart, Complainant's failure to timely produce the spreadsheet relied upon by Mr. McCown in his June 14 Report cannot possibly be cured at this late date. Moreover, COSCO no longer has any meaningful opportunity to defend itself against the September 27 Report and assorted other documents that Complainant failed to produce until last week – or documents that Complainant plans to produce at some point in the future. Discovery about the new list of shipments (and any other changes) is no longer realistically possible. Respondent's Expert has already produced his Rebuttal Expert Report based on Complainant's June 14 Report, the time for supplemental discovery has elapsed, and depositions of VCC's fact witnesses have already concluded. Moreover, all discovery will end in sixteen calendar days, even counting the intervening religious holidays on October 3 and 9-10 (i.e., on October 18, 2024).

This short period is not nearly enough time for Respondent to review the September 27 spreadsheets and other documents produced this past week (or that VCC plans to produce in the near future) and conduct reasonable discovery to defend itself from VCC's convoluted and evolving claims.

Because COSCO has been deprived of a reasonable opportunity to defend itself due to Complainant's failure to properly produce critical discovery responses, fundamental fairness requires that the Presiding Officer dismiss the Complaint for failure to prosecute and/or failure to follow the regulations of the FMC and the Orders of the Presiding Officer. At the very least, as discussed below, the Presiding Officer should preclude Complainant from introducing Mr. McCown's September 27 Report and indeed, preclude Complainant from using anything other than the June 14 Report, as corrected on July 8.

VCC has also abused the discovery process in multiple other ways, some of which we have already documented in motions to compel and will not rehash here. As just one example, on September 23, 2024, less than twenty-four hours before Respondent's first deposition of Complainant's fact witness, Gary Hirschel, was scheduled to take place, Complainant dumped 155 separate document files on Respondent.⁸ While Respondent could justifiably have postponed the depositions, it instead chose to reduce possible delay by going forward as best it could despite the handicap.

⁸ This was neither the first nor the last time VCC provided a mountain of documents at a late date. As best we can tell, most of those documents are not even responsive, unlike the documents VCC refused to provide. On September 19, 2024, for example, less than a week prior, Respondent received 698 documents from VCC. And just last night (October 1) at 7:04 p.m. EDT, Complainants produced another 3,418 files. This practice appears to be a matter of document dumping, where a party produces lots of unresponsive documents in order to make it harder for the opposing party to identify the relevant documents or to do so in a timely manner. That way, "hot" documents can be obscured, just as in the old days some parties put such documents in the middle of a large pile of otherwise uninteresting documents. Such document dumping is regularly condemned by the courts. *See, e.g., Facebook, Inc. v. Onlinenic Inc.*, 2024 WL 1974543 at *1 (N.D. Cal. May 3, 2024) ("defendants engaged in underhanded tactics to avoid producing responsive documents, such as data dumping"); *BlueRadios, Inc. v. Kopin Corp.*, 2024 WL 3251944 at *4 (D. Colo., April 25, 2024) ("[o]ne of the consequences of dumping documents in large volume and without sufficient organizational information is that BlueRadios had to 'conduct depositions without adequate time to review potentially relevant materials'").

Complainant's actions clearly warrant dismissal under the criteria enunciated by the courts. First, a judge "has wide discretion in discovery matters" and appellate bodies "will not disturb the rulings absent a clear finding of abuse of discretion." *Castillo v. St. Paul Fire & Marine Ins. Co.*, 938 F.2d 776 (7th Cir. 1991) (citing *Brown-Bey v. United States*, 720 F.2d 467 (7th Cir. 1983)). A court considering dismissal for failure to prosecute is expected to consider five factors: (1) the extent and significance of the delay caused by the plaintiff's actions; (2) whether plaintiff was given notice that further delay could result in dismissal; (3) prejudice to defendant; (4) balancing the need to avoid delay against plaintiff's right to a day in court; and (5) the efficacy of lesser sanctions. *See, e.g., Selvon v. City of New York*, No. 113CV6626FBRML, 2021 WL 2827308, at *1 (E.D.N.Y. July 7, 2021) (citing *U.S. ex rel. Drake v. Norden Sys., Inc.*, 375 F.3d 248, 254 (2d Cir. 2004)). "No one factor is dispositive." *Drake*, 375 F.3d at 254. However, courts have held that "a case is properly dismissed . . . where there is a clear record of delay or contumacious conduct." *Knoll v. Am. Tel. & Tel. Co.*, 176 F.3d 359, 363 (6th Cir. 1999). We address these criteria in turn.

i. Extent of Delay

VCC's discovery abuses will invariably generate significant delay. This concern is even more relevant at the FMC than it is in court. A court can always merely extend deadlines, as, unlike the Presiding Officer, it does not face the deadline imposed here by the Commission. As discussed above, the current Schedule calls for discovery to end on October 18, 2024, which would not allow nearly enough time for Respondent to analyze the withheld documents, conduct new depositions, and propound additional discovery requests necessary to understand and respond to the belatedly produced documents. Respondent believes that, even if the Presiding Officer were inclined to extend the schedule, it would require ***at least*** two months to even partially remediate Complainants' discovery failures, meaning that briefing could not possibly be concluded before the Commission's

deadline for the Presiding Officer to issue her Initial Decision. As explained above, VCC did not produce its revised expert report and the underlying spreadsheets until last Friday, September 27.

ii. Prior Notice

VCC was put on notice that further delay would result in dismissal. In the Presiding Officer's July 17, 2024 Partial Order on Motions to Compel, Motion for Entry of Protective Order, and Motion for Enlargement of Page Limits, Complainant was reminded "that it must be prepared to pursue its case . . . including providing responses to discovery requests when propounded according to the schedule, to the extent possible at that time. If it is not able to prosecute its case, it risks involuntary dismissal." July 17, 2024 Order at 7.

iii. Prejudice

Respondent will unquestionably be prejudiced by further delay. As discussed above, Complainant's obstreperous antics have rendered it impossible for Respondent to meaningfully defend itself from Complainant's fluctuating and capricious claims as to the specific shipments involved and the alleged reparations. Moreover, if a substantially revised schedule is ordered instead of dismissal, the cost to Respondent of conducting additional discovery would be significant, unless such cost was imposed by the Presiding Officer on the Complainant, which caused the delay.

iv. Balancing

It is our understanding that the Commission is faced with an unprecedented number of formal dockets (and informal dockets being heard by an ALJ) and that the Administrative Law

Judges have a full docket.⁹ Further, the Commission has set a deadline for issuance of an Initial Decision on January 6, 2025, which is already precariously perched shortly after the completion of briefing. Given that this problem was caused by VCC's repeated failures to timely produce documents it proposes to rely upon, we submit that the balance between meeting Commission deadlines and VCC's right to be heard weighs heavily in favor of dismissal.

v. Alternatives

As trier of law and fact, the Presiding Officer is “not required to exhaust possible lesser sanctions before imposing dismissal or default if such a sanction is appropriate on the overall record.” *Selvon v. City of New York*, No. 113CV6626FBRML, 2021 WL 2827308, at *3 (citing *S. New England Tel. Co. v. Glob. NAPs Inc.*, 624 F.3d 123, 148 (2d Cir. 2010)). As already explained, extending deadlines would not only reward Complainant for its serious misconduct, but would also impose additional costs on Respondent and preclude the Presiding Officer from issuing an Initial Decision in accordance with the current Schedule. Complainant is, of course, free to propose lesser sanctions in its response, which COSCO would address in its reply.

C. In the Alternative, the Presiding Officer Should: (1) Dismiss the Complaint with Respect to Shipments not in the U.S.-Foreign Trades and (2) Preclude Use of the September 27 Report of John D. McCown

For the reasons discussed above, the instant Complaint should be dismissed in its entirety. If the Presiding Officer elects not to dismiss the entire Complaint, however, she should in the alternative dismiss Complainant's claims with respect to all shipments that were not transported by COSCO in the U.S.-Foreign trades and preclude Complainant's use of its substantially revised

⁹ As just some evidence of that, we note that some FMC proceedings have recently been assigned to ALJs outside the agency.

September 27, 2024 Expert Report of John McCown, which was neither authorized by the Schedule nor served until well after the time for submitting expert reports had elapsed.

1. Shipments Not in U.S.-Foreign Trade Must Be Dismissed

For reasons unknown to us, neither the Complaint nor Complainant's responses to Respondent's written discovery requests revealed that many of the shipments for which VCC claims violations and reparations were not, in fact, in the United States-Foreign trades. We learned that dispositive fact only last week, during the September 27, 2024 deposition of Thomas O'Toole, VCC's Director of Transportation and Logistics, who disclosed that some meaningful percentage of VCC's so-called U.S. cargo in both 2021 and 2022 involved ocean transportation only in the foreign-foreign trade between a foreign origin country and Canada. Such shipments were discharged in either Prince Rupert or Vancouver, both ports located in Canada.¹⁰ Such shipments are entirely outside the FMC's adjudicatory authority, and so must be dismissed.

The FMC's regulatory jurisdiction under the Shipping Act extends only to shipments arriving or departing from a United States port, not to shipments between foreign countries or U.S. cargo that arrives through a Canadian or Mexican port. Indeed, the Shipping Act's definition of "common carrier" is strictly limited to "a person holding itself out . . . to provide transportation by water of cargo . . . *between the United States and a foreign country* . . . that . . . utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a *port* in the United States and a port in a foreign country." 46 U.S.C. § 40102(7) (emphasis added). As

¹⁰ The containers discharged in Canada were brought to the United States by land; accordingly, the ocean transportation of such cargo ended in Canada.

interpreted by both the Commission and the courts, this means that two elements must be present in order for the Shipping Act to apply to any specific shipment:

1. Either the origin or the destination of the cargo must be in the U.S., *and*
2. The shipment must be loaded or discharged from the vessel at a United States port.

If either of these requirements is not met, the Shipping Act does not apply, and the FMC lacks jurisdiction to adjudicate the dispute in question.

In *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642 (D.C. Cir. 1978), for example, the United States Court of Appeals for the D.C. Circuit reversed the FMC and held that a carrier that moved cargo from Detroit to the Canadian port of Vancouver by truck or rail, and then transported it by ocean vessel to Australia, was not a common carrier despite there being a through (intermodal) movement from Detroit to Australia. To support this conclusion, the Circuit Court stated:

“According to the statute, a common carrier by water in foreign commerce is one that transports people or cargo *by water* between the United States and a foreign country; thus by clear implication a United States port is required somewhere along the route. Ace and [its affiliate] however, do not make use of United States ports at any point in their service, but instead ship property overland out of the United States and thereafter exclusively between foreign ports.” *Id.* at 644 (italics in original).

This ruling was reinforced by the Commission (and the Court of Appeals for the Ninth Circuit) in two decisions relating to the voluntary filing of ocean common carrier agreements concerning foreign-to-foreign trade. *Foreign-to-Foreign Agreements – Exemption*, 24 S.R.R. 1448 (FMC 1988), reconsideration denied, 25 S.R.R. 455 (FMC 1989), *aff’d sub nom. Transpacific Westbound Rate Agreement v. FMC*, 951 F.2d 950 (9th Cir. 1991). The Commission initially proposed to allow such filings, then reversed that approach in its final decision and again on reconsideration. In these decisions, which are of a kind and thus discussed together, the

Commission firmly concluded that a carrier engaged in foreign-foreign trade was not operating as a “common carrier” within the meaning of the Shipping Act and hence was outside the Commission’s regulatory purview.

In reaching its final decision, the FMC, citing *Austasia*, held that its authority was “coextensive with the definition of ‘common carrier.’” 24 S.R.R. at 1458. The Commission further explained that Congress, in passing the Shipping Act of 1984, had specifically decided **not** to change the rule in *Austasia* and it quoted passages from the legislative history recognizing that the definition of “common carrier” “applies only to the extent the . . . cargo transported are loaded or discharged at a U.S. port.” *Id.*

The Commission went on to describe the two requirements for Shipping Act authority, and consequently, FMC jurisdiction, as follows:

“A regulated service must involve [1] a ‘holding . . . out to provide transportation by water between the United States and a foreign country [i.e., a U.S. origin or destination] . . .’ and [2] must utilize ‘for all or part of that transportation, a vessel operating . . . between a **port in the United States** and a port in another country’” 25 S.R.R. at 464 (ellipses in original) (emphasis added).

Further, the FMC specifically addressed the situation at hand, where vessel loading or discharge took place in Canada, rather than the United States:

“[T]he intermodal movement of Canadian (or Mexican) cargo imports or exports through U.S. ports is outside the Shipping Act. . . . [S]ervices where there is a ‘holding out’ and where U.S. cargoes are clearly present nevertheless **are excluded** if no port calls are contemplated in the ordinary course of business.” *Id.* at n.14.

The Commission’s decisions were upheld by the Court of Appeals for the Ninth Circuit in *Transpacific Westbound Rate Agreement v. FMC*, wherein the Court concluded that “the

Commission's narrow interpretation of 'common carriage' was an appropriate interpretation of the Shipping Act." 951 F.2d at 953.

Although the Complaint did not disclose this information – and indeed, Respondents did not know it until last week – a substantial number of the shipments for which VCC claims Shipping Act violations were neither loaded nor discharged at a U.S. port. Instead, as confirmed by Mr. O'Toole, a significant percentage of shipments identified on the original spreadsheet was loaded abroad and discharged in Canada. Given the astonishingly late date at which we learned of this dispositive fact, and the multiplicity of spreadsheets involved, we do not wish to burden the Presiding Officer (or the Parties) with a briefing or mini hearing to determine the specific shipments that were discharged in Canada (or perhaps Mexico). Instead, we ask that the Presiding Officer rule generally that cargo discharged in Canada or Mexico is not within the FMC's jurisdiction, as the law makes clear, and require VCC to identify and remove such shipments from the scope of its briefs.

2. The New McCown Report Should Be Precluded

As stated above, an Expert Report *must* be produced in accordance with the schedule set by the Presiding Officer. Pursuant to the revised procedural schedule issued by the Presiding Officer on May 14, 2024, Complainant served its Expert Report of John McCown on June 14, 2024 (and a slightly, and properly, corrected version on July 8, 2014), and Respondent served its Expert Report of Daniel Hackett on July 22, 2024. Under the Schedule issued by the Presiding Officer, the Expert Report of Mr. McCown was required to be served by June 14, 2024. There was no provision for submitting revised expert reports, and Complainant never asked the Presiding Officer to authorize either a revised report or a date for submitting revised expert reports.

Despite the absence of any authority or a motion for permission to serve an amended report, Complainant nevertheless served just such an amended report at 8:07 pm on Friday, September 27, just one day *after* the deposition of Mr. McCown had been partially conducted (and suspended). Although Complainants fancifully referred to the new expert report as a “corrected” report, even a brief scan of **Exhibit 5** demonstrates the contrary. Further, and wholly bafflingly, the September 27 Report simultaneously increased the alleged damages from \$124,403 to \$153,344, even while simultaneously reducing the number of shipments at issue from 539 to 419. Apparently, Mr. McCown reached this counterintuitive result by making unexplained changes to the proposed rate of reimbursement for VCC (jumping it from 7.5% to 12.5%). **Exhibit 5**, ¶¶ 77 & 83. Nomenclatural legerdemain notwithstanding, the September 27 Report is in substance not merely “corrected” but instead a substantially revised and effectively new report.¹¹

Complainant has suggested that this revision of the McCown Report is not new because Mr. McCown did not change his opinions. That is beside the point. His opinions will largely need to be struck as irrelevant in any event because they are mostly prohibited opinions of law and/or contradicted by FMC and court precedent, but more importantly, Mr. McCown used a brand new, previously unseen universe of shipments and substantially revised, without explanation, his calculations upon which Claimant’s claim for reparations is based.

There is no possibility within the existing schedule for Respondent to properly address this September 27 Report, nor will the potentially resumed deposition of Mr. McCown – which will

¹¹ Respondent does not object to the July 8, 2024 correction. These changes were minor and technical, and Respondent found nothing in them that made a substantive difference of any import. This was totally different from the heavily revised September 27 Report, which the redline shows as replete with changes and which, as noted above, increased VCC’s purported damages despite lowering the number of shipments at issue in the case.

need to be postponed in any event – suffice. Complainant has not moved for or proposed an extension of the Schedule; nor would it be appropriate to grant such an extension, imposing additional costs on Respondent, given that it results solely from the misbehavior of Complainant.

Fundamental fairness, the Administrative Procedure Act, and Due Process all require that a respondent be allowed to timely learn and respond to the allegations of a complainant. In this case, Complainant has made that impossible, except by precluding the new and substantially revised September 27 Report of Mr. McCown.¹²

Accordingly, Respondent COSCO respectfully moves to dismiss Complainant’s Amended Complaint with prejudice. In the alternative, COSCO urges the Presiding Officer to preclude (1) all VCC shipments not in U.S.-Foreign trade and (2) John McCown’s September 27, 2024 Report.

Dated: October 2, 2024

Respectfully submitted,

/s/ _____

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Rebecca A. Fenneman, Esq.
RFenneman@JeffreyFenneman.com

¹² We understand that courts often engage in a balancing test, similar to that described above regarding dismissal for failure to prosecute. We will discuss that further in the reply (if necessary) but submit that the balance favors preclusion for similar reasons. Moreover, in this case, Complainant is not being deprived of an expert report, but instead is being limited to its original expert report, rather than the substantially revised report concocted at the eleventh hour to try to mitigate obvious flaws in the original version.

Eric C. Jeffrey, Esq.
EJeffrey@JeffreyFenneman.com

Kaya C. Massey, Esq.
KMassey@JeffreyFenneman.com

Nicholas L. Webb, Esq.
NWebb@JeffreyFenneman.com

700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: 202-904-2301.

COUNSEL FOR RESPONDENT COSCO

CERTIFICATE OF SERVICE

I hereby certify that a true and correct copy of the foregoing *Respondent's Second Motion to Dismiss* was served on this 2nd day of October, 2024, upon on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Counsel for Complainant:

Jennifer Oliver, Esq.
Buchanan Ingersoll & Rooney PC
600 W. Broadway, Suite 1100
San Diego, CA 92101
jennifer.oliver@bipc.com

Jacob M. Adams, Esq.
Buchanan Ingersoll & Rooney PC
1737 King Street, Suite 500
Alexandria, VA 22314-2727
jake.adams@bipc.com

Melissa J. Bayly, Esq.
Buchanan Ingersoll & Rooney PC
550 Broad Street, Suite 810
Newark, NJ 07102
melissa.bayly@bipc.com

Respectfully submitted,

/s/

Kaya C. Massey, Esq.